xii. As the Company is not a Nidhi Company and the Nidhi Rules, 2014 are not applicable to it, the reporting under clause 3(xii) of the Order is not applicable to the Company.

xiii. The Company has entered into transactions with related parties in compliance with the provisions of Sections 177 and 188 of the Act. The details of related party transactions have been disclosed in the standalone financial statements as required under Indian Accounting Standard 24 "Related Party Disclosures" specified under Section 133 of the Act.

xiv. (a) In our opinion, the Company has an internal audit system commensurate with the size and nature of its business.

(b) The reports of the Internal Auditor for the period under audit have been considered by us.

xv. In our opinion, the Company has not entered into any non-cash transactions with its directors or persons connected with the directors. Accordingly, the reporting on compliance with the provisions of Section 192 of the Act under clause 3(xv) of the Order is not applicable to the Company.

xvi. (a) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, the reporting under clause 3(xvi)(a) of the Order is not applicable to the Company.

(b) The Company has not conducted non-banking financial /housing finance activities during the year. Accordingly, the reporting under clause 3(xvi)(b) of the Order is not applicable to the Company.

(c) The Company is not a Core Investment Company as defined in the regulations made by the Reserve Bank of India. Accordingly, the additional reporting under clause 3(xvi)(c) of the Order is not applicable to the Company.

(d) In our opinion, the Group as defined in the Reserve Bank of India (Core Investment Companies) Directions, 2025 has six CICs as part of the Group.

xvii. The Company has not incurred any cash losses in the financial year or in the immediately preceding financial year.

xviii. There has been no resignation of the statutory auditors during the year and, accordingly, the reporting under clause 3(xviii) of the Order is not applicable.

xix. On the basis of the financial ratios, ageing and expected dates of realisation of financial assets and payment of financial liabilities, other information accompanying the standalone financial statements, our knowledge of the Board of Directors and management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that the Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date will get discharged by the Company as and when they fall due.

xx. As at balance sheet date, the Company does not have any amount remaining unspent under Section 135(5) of the Act. Accordingly, reporting under clause 3(xx) of the Order is not applicable.

xxi. The reporting under clause 3(xxi) of the Order is not applicable in respect of audit of Standalone Financial Statements. Accordingly, no comment in respect of the said clause has been included in this report.

For **Price Waterhouse & Co Chartered Accountants LLP**
Firm Registration Number: 304026E/E-300009

Subramanian Vivek
Partner
Membership Number: 100332
UDIN: 26100332RWDEKB6299

Mumbai
May 15, 2026

BALANCE SHEET

as at March 31, 2026

(₹ crore)

	Note	Page	As at March 31, 2026	As at March 31, 2025
Assets				
I Non-current assets				
(a) Property, plant and equipment	3	F42	1,09,059.93	93,203.83
(b) Capital work-in-progress	3	F42	19,220.06	34,189.06
(c) Right-of-use assets	4	F47	5,976.02	5,342.89
(d) Goodwill			12.66	12.66
(e) Other intangible assets	5	F50	842.91	919.68
(f) Intangible assets under development	5	F50	795.47	671.24
(g) Financial assets				
(i) Investments	6	F52	94,528.54	72,699.01
(ii) Loans	7	F61	3.87	4,816.22
(iii) Derivative assets			664.28	-
(iv) Other financial assets	8	F63	1,352.83	2,015.58
(h) Retirement benefit assets	20	F84	70.52	-
(i) Non-current tax assets (net)			3,784.77	3,763.20
(j) Other assets	10	F66	3,042.49	2,796.47
Total non-current assets			**2,39,354.35**	**2,20,429.84**
II Current assets				
(a) Inventories	11	F67	23,059.16	22,933.85
(b) Financial assets				
(i) Investments	6	F52	0.11	0.12
(ii) Trade receivables	12	F67	1,631.65	1,565.65
(iii) Cash and cash equivalents	13	F69	2,912.79	3,111.93
(iv) Other balances with banks	14	F69	191.60	1,032.69
(v) Loans	7	F61	2.71	24.74
(vi) Derivative assets			364.72	239.07
(vii) Other financial assets	8	F63	1,047.17	1,163.58
(c) Other assets	10	F66	4,183.16	3,631.27
Total current assets			**33,393.07**	**33,702.90**
Total assets			**2,72,747.42**	**2,54,132.74**
Equity and liabilities				
III Equity				
(a) Equity share capital	15	F70	1,248.60	1,248.60
(b) Other equity	16	F73	1,34,284.71	1,25,483.34
Total equity			**1,35,533.31**	**1,26,731.94**
IV Non-current liabilities				
(a) Financial liabilities				
(i) Borrowings	17	F76	50,666.45	51,040.98
(ii) Lease liabilities			3,766.16	3,177.06
(iii) Derivative liabilities			-	46.26
(iv) Other financial liabilities	18	F82	852.58	1,146.69
(b) Provisions	19	F83	2,870.50	3,153.70
(c) Retirement benefit obligations	20	F84	2,351.40	2,450.15
(d) Deferred income	21	F85	401.50	314.28
(e) Deferred tax liabilities (net)	9	F64	9,745.00	9,077.75
(f) Other liabilities	22	F86	2,827.73	2,511.01
Total non-current liabilities			**73,481.32**	**72,917.88**
V Current liabilities				
(a) Financial liabilities				
(i) Borrowings	17	F76	14,037.73	8,640.44
(ii) Lease liabilities			578.93	364.91
(iii) Trade payables	23	F87		
(a) Total outstanding dues of micro and small enterprises			1,597.51	1,236.18
(b) Total outstanding dues of creditors other than micro and small enterprises			16,778.21	12,902.73
(c) Acceptances			6,735.57	6,462.20
(iv) Derivative liabilities			10.55	126.40
(v) Other financial liabilities	18	F82	9,545.97	9,847.89
(b) Provisions	19	F83	1,258.59	1,191.34
(c) Retirement benefit obligations	20	F84	132.93	122.88
(d) Deferred income	21	F85	25.04	22.22
(e) Current tax liabilities (net)			1,974.96	1,451.98
(f) Other liabilities	22	F86	11,056.80	12,113.75
Total current liabilities			**63,732.79**	**54,482.92**
Total liabilities			**1,37,214.11**	**1,27,400.80**
Total equity and liabilities			**2,72,747.42**	**2,54,132.74**
Notes forming part of the standalone financial statements	1-49			

In terms of our report attached

For and on behalf of the Board of Directors

For **Price Waterhouse & Co Chartered Accountants LLP**
Firm Registration Number: 304026E/E-300009

sd/-
N. Chandrasekaran
Chairman
DIN: 00121863

sd/-
Noel Naval Tata
Vice-Chairman
DIN: 00024713

sd/-
Deepak Kapoor
Independent Director
DIN: 00162957

sd/-
V. K. Sharma
Independent Director
DIN: 02449088

sd/-
Bharti Gupta Ramola
Independent Director
DIN: 00356188

sd/-
Dr. Shekhar C. Mande
Independent Director
DIN: 10083454

sd/-
Subramanian Vivek
Partner
Membership Number 100332

sd/-
Pramod Agrawal
Independent Director
DIN: 00279727

sd/-
Saurabh Agrawal
Non-Executive Director
DIN: 02144558

sd/-
T. V. Narendran
Chief Executive Officer & Managing Director
DIN: 03083605

sd/-
Koushik Chatterjee
Executive Director & Chief Financial Officer
DIN: 00004989

sd/-
Parvatheesam Kanchinadham
Company Secretary and Chief Legal Officer
ACS: 15921

Mumbai, May 15, 2026

TATA

STATEMENT OF PROFIT AND LOSS

for the year ended March 31, 2026

(₹ crore)

		Note	Page	Year ended March 31, 2026	Year ended March 31, 2025
I	Revenue from operations	24	F89	1,39,720.22	1,32,516.66
II	Other income	25	F89	2,165.70	2,246.90
III	**Total income**			**1,41,885.92**	**1,34,763.56**
IV	**Expenses:**				
	(a) Cost of materials consumed			47,978.73	44,088.93
	(b) Purchases of stock-in-trade			5,075.90	9,825.50
	(c) Changes in inventories of finished and semi-finished goods, stock-in-trade and work-in-progress	26	F90	(365.03)	330.66
	(d) Employee benefits expense	27	F90	7,755.70	8,010.08
	(e) Finance costs	28	F91	5,116.88	4,238.35
	(f) Depreciation and amortisation expense	29	F91	7,068.68	6,253.16
	(g) Other expenses	30	F91	47,154.30	43,170.46
				1,19,785.17	**1,15,917.14**
	(h) Less: Expenditure (other than finance cost) transferred to capital account			351.20	774.46
	Total expenses			**1,19,433.96**	**1,15,142.68**
V	**Profit before exceptional items and tax (III-IV)**			**22,451.96**	**19,620.88**
VI	**Exceptional items:**	31	F93		
	(a) Provision for impairment and non-recoverability of non-current assets/non-current investments/loans and advances/other financial assets			(948.40)	(74.91)
	(b) Profit/(loss) on sale of non-current investments/business undertakings/non-current assets			322.08	-
	(c) Restructuring, redundancy and other provisions (net)			(425.68)	(670.78)
	(d) Statutory impact of new labour codes			(72.53)	-
	(e) Contribution to electoral trusts			-	(173.11)
	(f) Fair value gain/(loss) on non-current investments (net)			25.67	16.76
	Total exceptional items			**(1,098.86)**	**(902.04)**
VII	**Profit before tax (V+VI)**			**21,353.10**	**18,718.84**
VIII	**Tax expense:**	9	F64		
	(a) Current tax			4,917.07	3,765.51
	(b) Current tax in relation to earlier years			(164.54)	-
	(c) Deferred tax			535.44	983.63
	Total tax expense			**5,287.97**	**4,749.14**
IX	**Profit for the year (VII-VIII)**			**16,065.13**	**13,969.70**
X	**Other comprehensive income**				
	A. (i) Items that will not be reclassified to profit and loss:				
	(a) Remeasurement gain/(loss) on post-employment defined benefit plans			327.72	(168.92)
	(b) Fair value changes of investments in equity shares			(3,108.26)	(23,729.01)
	(ii) Income tax on items that will not be reclassified to profit and loss			(79.95)	18.78
	B. (i) Items that will be reclassified to profit and loss:				
	(a) Fair value changes of cash flow hedges			121.34	(125.62)
	(ii) Income tax on items that will be reclassified to profit and loss			(30.54)	31.61
	Total other comprehensive income for the year			**(2,769.69)**	**(23,973.16)**
XI	**Total comprehensive income for the year (IX+X)**			**13,295.44**	**(10,003.46)**
XII	**Earnings per share**	32	F93		
	Basic (₹)			12.87	11.19
	Diluted (₹)			12.87	11.19
	Notes forming part of the standalone financial statements	1-49			

In terms of our report attached

For **Price Waterhouse & Co Chartered Accountants LLP**
Firm Registration Number: 304026E/E-300009

sd/-
Subramanian Vivek
Partner
Membership Number 100332

Mumbai, May 15, 2026

For and on behalf of the Board of Directors

sd/-
N. Chandrasekaran
Chairman
DIN: 00121863

sd/-
Noel Naval Tata
Vice-Chairman
DIN: 00024713

sd/-
Deepak Kapoor
Independent Director
DIN: 00162957

sd/-
V. K. Sharma
Independent Director
DIN: 02449088

sd/-
Bharti Gupta Ramola
Independent Director
DIN: 00356188

sd/-
Dr. Shekhar C. Mande
Independent Director
DIN: 10083454

sd/-
Pramod Agrawal
Independent Director
DIN: 00279727

sd/-
Saurabh Agrawal
Non-Executive Director
DIN: 02144558

sd/-
T. V. Narendran
Chief Executive Officer & Managing Director
DIN: 03083605

sd/-
Koushik Chatterjee
Executive Director & Chief Financial Officer
DIN: 00004989

sd/-
Parvatheesam Kanchinadham
Company Secretary and Chief Legal Officer
ACS: 15921

STATEMENT OF CHANGES IN EQUITY

for the year ended March 31, 2026

A. Equity share capital

(₹ crore)

Balance as at April 1, 2025	Changes during the year	Balance as at March 31, 2026
1,248.60	**-**	**1,248.60**

(₹ crore)

Balance as at April 1, 2024	Changes during the year	Balance as at March 31, 2025
1,248.60	**-**	**1,248.60**

B. Other equity

(₹ crore)

	Retained earnings [refer note 16A, page F73]	Items of other comprehensive income [refer note 16B, page F73]	Other reserves [refer note 16C, page F74]	Total
Balance as at April 1, 2025	**1,09,729.39**	**(33,080.81)**	**48,834.76**	**1,25,483.34**
Profit/(loss) for the year	16,065.13	-	-	16,065.13
Other comprehensive income for the year	245.41	(3,015.10)	-	(2,769.69)
Total comprehensive income for the year	**16,310.54**	**(3,015.10)**	**-**	**13,295.44**
Dividend	(4,494.07)	-	-	(4,494.07)
Balance as at March 31, 2026	**1,21,545.86**	**(36,095.91)**	**48,834.76**	**1,34,284.71**

STATEMENT OF CHANGES IN EQUITY (CONTD.)
for the year ended March 31, 2026

(₹ crore)

	Retained earnings [refer note 16A, page F73]	Items of other comprehensive income [refer note 16B, page F73]	Other reserves [refer note 16C, page F74]	Total
Balance as at April 1, 2024	**1,00,380.17**	**(9,234.06)**	**48,834.76**	**1,39,980.87**
Profit for the year	13,969.70	-	-	13,969.70
Other comprehensive income for the year	(126.41)	(23,846.75)	-	(23,973.16)
Total comprehensive income for the year	**13,843.29**	**(23,846.75)**	**-**	**(10,003.46)**
Dividend	(4,494.07)	-	-	(4,494.07)
Balance as at March 31, 2025	**1,09,729.39**	**(33,080.81)**	**48,834.76**	**1,25,483.34**

Dividend paid during the year ended March 31, 2026 is **₹3.60** (March 31, 2025: ₹3.60) per Ordinary share (face value of ₹1 each)

C. Notes forming part of the standalone financial statements Note 1-49

In terms of our report attached

For and on behalf of the Board of Directors

For **Price Waterhouse & Co Chartered Accountants LLP**
Firm Registration Number: 304026E/E-300009

sd/-
N. Chandrasekaran
Chairman
DIN: 00121863

sd/-
Noel Naval Tata
Vice-Chairman
DIN: 00024713

sd/-
Deepak Kapoor
Independent Director
DIN: 00162957

sd/-
V. K. Sharma
Independent Director
DIN: 02449088

sd/-
Bharti Gupta Ramola
Independent Director
DIN: 00356188

sd/-
Dr. Shekhar C. Mande
Independent Director
DIN: 10083454

sd/-
Subramanian Vivek
Partner
Membership Number 100332

sd/-
Pramod Agrawal
Independent Director
DIN: 00279727

sd/-
Saurabh Agrawal
Non-Executive Director
DIN: 02144558

sd/-
T. V. Narendran
Chief Executive Officer & Managing Director
DIN: 03083605

sd/-
Koushik Chatterjee
Executive Director & Chief Financial Officer
DIN: 00004989

sd/-
Parvatheesam Kanchinadham
Company Secretary and Chief Legal Officer
ACS: 15921

Mumbai, May 15, 2026

STATEMENT OF CASH FLOWS

for the year ended March 31, 2026

(₹ crore)

		Year ended March 31, 2026		Year ended March 31, 2025
(A) Cash flows from operating activities:				
Profit before tax		**21,353.10**		**18,718.84**
Adjustments for:				
Depreciation and amortisation expense	7,068.68		6,253.16	
Dividend Income	(566.77)		(297.35)	
(Gain)/loss on sale of property, plant and equipment including intangible assets (net of loss on assets scrapped/written off)	149.60		77.60	
Exceptional (income)/expenses	1,098.86		902.04	
Interest income and income from current investments	(1,601.89)		(1,895.01)	
Finance costs	5,116.88		4,238.35	
Foreign exchange (gain)/loss	(177.75)		(397.52)	
Other non-cash items	16.99		(1,919.13)	
		11,104.60		**6,962.14**
Operating profit before changes in non-current/current assets and liabilities		**32,457.70**		**25,680.98**
Adjustments for:				
Non-current/current financial and other assets	(605.99)		(548.53)	
Inventories	(225.06)		1,584.13	
Non-current/current financial and other liabilities/provisions	4,564.10		(522.64)	
		3,733.05		512.96
Cash generated from operations		**36,190.75**		**26,193.94**
Income taxes paid (net of refund)		(4,229.80)		(2,688.26)
Net cash from/(used in) operating activities		**31,960.95**		**23,505.68**
(B) Cash flows from investing activities:				
Purchase of capital assets	(8,813.60)		(11,105.71)	
Sale of capital assets/business undertakings	1,186.31		25.28	
Advance received against sale of property, plant and equipment	4.60		750.00	
Purchase of investments in subsidiaries[i]	(24,166.20)		(24,575.72)	
Purchase of other non-current investments	(26.05)		(327.73)	
(Purchase)/sale of current investments (net)	127.94		782.61	
Loans given	(111.15)		(1,138.31)	
Repayment of loans given	5,116.05		201.65	
Principal receipts under sublease	0.45		0.46	
Fixed/restricted deposits placed with banks	(29.98)		(15.49)	
Fixed/restricted deposits realised from banks	14.94		358.66	
Interest received	466.67		515.52	
Dividend received from subsidiaries	353.04		163.47	
Dividend received from associates and joint ventures	120.93		79.28	
Dividend received from others	92.80		54.60	
Net cash from/(used in) investing activities		**(25,663.25)**		**(34,231.43)**

STATEMENT OF CASH FLOWS (CONTD.)
for the year ended March 31, 2026

(₹ crore)

	Year ended March 31, 2026		Year ended March 31, 2025	
(C) Cash flows from financing activities:				
Consideration paid upon merger	-		(12.77)	
Proceeds from long-term borrowings (net of issue expenses)	8,245.38		19,463.73	
Repayment of long-term borrowings	(9,385.44)		(3,931.48)	
Proceeds/(repayments) of short-term borrowings (net)	5,338.39		3,562.72	
Principal payment of lease liabilities	(427.36)		(503.45)	
Amount received/(paid) on utilisation/cancellation of derivatives	293.40		309.71	
Interest paid	(6,067.14)		(5,113.51)	
Dividend paid	(4,494.07)		(4,494.07)	
Net cash from/(used in) financing activities		**(6,496.84)**		**9,280.88**
Net increase/(decrease) in cash and cash equivalents		**(199.14)**		**(1,444.87)**
Opening cash and cash equivalents (refer note 13, page F69)		**3,111.93**		**4,556.80**
Closing cash and cash equivalents (refer note 13, page F69)		**2,912.79**		**3,111.93**

(i) Includes ₹6.00 crore paid in respect of deferred consideration on acquisition of a subsidiary during the year ended March 31, 2025.

(ii) Significant non-cash movements in borrowings, lease liabilities and loans given during the year include:

(a) amortisation/effective interest rate adjustments of upfront fees and other adjustments **₹10.95** crore (2024-25: ₹13.37 crore).

(b) exchange loss on borrowings **₹706.82** crore (2024-25: gain ₹74.67 crore).

(c) adjustments to lease liabilities, increase **₹1,230.50** crore (2024-25: ₹766.03 crore).

(d) during the year ended March 31, 2025, loan of ₹4,709.17 crore given to a subsidiary was converted into equity investment.

(iii) During the year ended March 31, 2025, other non-cash items represent reversal of provision for claims no longer required.

(C) Notes forming part of the standalone financial statements — Note 1-49

In terms of our report attached

For **Price Waterhouse & Co Chartered Accountants LLP**
Firm Registration Number: 304026E/E-300009

sd/-
Subramanian Vivek
Partner
Membership Number 100332

Mumbai, May 15, 2026

For and on behalf of the Board of Directors

sd/- **N. Chandrasekaran**, Chairman, DIN: 00121863

sd/- **Noel Naval Tata**, Vice-Chairman, DIN: 00024713

sd/- **Deepak Kapoor**, Independent Director, DIN: 00162957

sd/- **V. K. Sharma**, Independent Director, DIN: 02449088

sd/- **Bharti Gupta Ramola**, Independent Director, DIN: 00356188

sd/- **Dr. Shekhar C. Mande**, Independent Director, DIN: 10083454

sd/- **Pramod Agrawal**, Independent Director, DIN: 00279727

sd/- **Saurabh Agrawal**, Non-Executive Director, DIN: 02144558

sd/- **T. V. Narendran**, Chief Executive Officer & Managing Director, DIN: 03083605

sd/- **Koushik Chatterjee**, Executive Director & Chief Financial Officer, DIN: 00004989

sd/- **Parvatheesam Kanchinadham**, Company Secretary and Chief Legal Officer, ACS: 15921

NOTES

forming part of the standalone financial statements

1. Company Information

Tata Steel Limited ("the Company") is a public limited Company incorporated in India with its registered office in Bombay House 24, Homi Modi Street Fort, Mumbai - 400 001, Maharashtra, India. The Company is listed on the BSE Limited (BSE) and the National Stock Exchange of India Limited (NSE).

The Company has presence across the entire value chain of steel manufacturing from mining and processing iron ore and coal to producing and distributing finished products. The Company offers a broad range of steel products including a portfolio of high value added downstream products such as hot rolled, cold rolled, coated steel, rebars, wire rods, tubes and wires.

The functional and presentation currency of the Company is Indian Rupee ("₹") which is the currency of the primary economic environment in which the Company operates and all the values are rounded off to the nearest two decimal places, unless otherwise indicated.

As on March 31, 2026, Tata Sons Private Limited owns 31.76% of the Ordinary Shares of the Company and has the ability to influence the Company's operations.

The standalone financial statements ('financial statements') for the year ended March 31, 2026 were approved by the Board of Directors and authorised for issue on May 15, 2026.

2. Material accounting policies

The material accounting policies applied by the Company in the preparation of its financial statements are listed below. Such accounting policies have been applied consistently to all the periods presented in these financial statements, unless otherwise indicated.

(a) Statement of compliance

The financial statements have been prepared in accordance with the Indian Accounting Standards (referred to as "Ind AS") prescribed under Section 133 of the Companies Act, 2013 read with Companies (Indian Accounting Standards) Rules, as amended from time to time and other relevant provisions of the Act.

(b) Basis of preparation

The financial statements have been prepared under the historical cost convention with the exception of certain assets and liabilities that are required to be carried at fair value by Ind AS.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

All assets and liabilities have been classified as current and non-current as per the Company's normal operating cycle which is based on the nature of businesses and the time elapsed between deployment of resources and the realisation of cash and cash equivalents. The Company has considered an operating cycle of 12 months.

(c) Use of estimates and critical accounting judgements

In the preparation of the financial statements, the Company makes judgements in the application of accounting policies; and estimates and assumptions which affects carrying values of assets and liabilities that are not readily apparent from other sources.

The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and future periods affected.

The Company uses the following critical accounting estimates and judgements in preparation of its financial statements.

Impairment of financial assets (other than subsequent measurement at fair value)

Measurement of impairment of financial assets require use of estimates and judgements, which have been explained in the note on financial instruments under impairment of financial assets. (refer note 2(m), page F36).

NOTES

forming part of the standalone financial statements

2. Material accounting policies (Contd.)

Useful lives of property, plant and equipment, right-of-use assets and intangible assets

The Company reviews the useful life of property, plant and equipment, right-of-use assets and intangible assets at the end of each reporting period. This reassessment may result in change in depreciation and amortisation expense in future periods. The policy has been detailed out in note 2(e), page F32, note 2(j), page F34 and note 2(k), page F35.

Provisions and contingent liabilities

A provision is recognised when the Company has a present obligation, legal or constructive, as result of a past event and it is probable that the outflow of resources will be required to settle the obligation, in respect of which a reliable estimate can be made. They include provisions on decommissioning, site restoration and environmental provisions as well which may change where changes in estimated reserves affect expectations about the timing or cost of these activities. All provisions are reviewed at each balance sheet date and adjusted to reflect the current best estimates.

The Company uses significant judgements to assess contingent liabilities. Contingent liabilities are disclosed when there is a possible obligation arising from past events, the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company or a present obligation that arises from past event where it is either not probable that an outflow of resources will be utilised to settle the obligation or a reliable estimate of the amount cannot be made. Contingent assets are neither recognised nor disclosed in the financial statements. Further details are set out in note 19, page F83 and note 34(A), page F101.

Fair value measurements of financial instruments

When the fair value of financial assets and financial liabilities recorded in the balance sheet cannot be measured based on quoted prices in active markets, their fair value is measured using valuation techniques including Discounted Cash Flow Model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. Judgements include considerations of inputs such as liquidity risks, credit risks and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments. Further details are set out in note 37, page F110.

Leases

The Company evaluates if an arrangement qualifies to be a lease as per the requirements of Ind AS 116 “Leases”. Identification of a lease requires significant judgement in assessing the terms and conditions of the arrangement including lease term, anticipated renewals and the applicable discount rate.

The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the Company uses incremental borrowing rate.

Retirement benefit obligations and assets

The Company’s retirement benefit obligations and assets are subject to a number of assumptions including discount/interest rates as applicable, inflation, salary growth and mortality rate. Significant assumptions are required when setting these criteria and a change in these assumptions would have a significant impact on the amount recorded in the Company’s balance sheet and the statement of profit and loss. The Company sets these assumptions based on previous experience and third party actuarial advice. The assumptions are reviewed annually and adjusted following actuarial and experience changes. Further details on the Company’s retirement benefit obligations and assets, including key assumptions are set out in note 33, page F94.

(d) Business combination under common control

Business combinations involving entities or businesses under common control are accounted for using the pooling of interest method. Under pooling of interest method, the assets and liabilities of the combining entities or businesses are reflected at their carrying amounts after making adjustments necessary to harmonise the accounting policies. The financial information in the financial statements in respect of prior periods is restated as if the business combination had occurred from the beginning of the preceding period in the

NOTES
forming part of the standalone financial statements

2. Material accounting policies (Contd.)

financial statements, irrespective of the actual date of the combination. The identity of the reserves is preserved in the same form in which they appeared in the financial statements of the transferor and the difference, if any, between the amount recorded as share capital issued plus any additional consideration in the form of cash or other assets and the amount of share capital of the transferor is transferred to capital reserve.

(e) Property, plant and equipment

Property, plant and equipment is stated at cost or deemed cost applied on transition to Ind AS, less accumulated depreciation and impairment. Cost includes all direct costs and expenditures incurred to bring the asset to its working condition and location for its intended use. Trial run expenses are capitalised. Borrowing costs incurred during the period of construction is capitalised as part of cost of qualifying asset.

Depreciation is provided so as to write off, on a straight line basis, the cost/deemed cost of property, plant and equipment to their residual value. These charges are commenced from the dates the assets are available for their intended use and are spread over their estimated useful lives. The estimated useful lives of assets, residual values and depreciation method are reviewed regularly and revised when necessary.

Depreciation on assets under construction commences only when the assets are ready for their intended use.

The estimated useful lives for the main categories of property, plant and equipment are:

	Estimated useful life (years)
Freehold buildings	upto 60 years*
Roads	5 to 10 years*
Plant and machinery	upto 40 years*
Furniture, fixture and office equipment	3 to 10 years*
Vehicles and aircraft	5 to 20 years*
Railway sidings	upto 35 years*
Assets covered under the Electricity Act (life as prescribed under the Electricity Act)	3 to 38 years

Property, plant and equipment are evaluated for recoverability wherever there is any indication that their carrying value may not be recoverable. If any such indication exists, the recoverable amount being the higher of fair value less costs to sell and value in use is determined on an individual asset basis. In cases where the asset does not generate cash flows that are largely independent from other assets, the recoverable amount is determined for the cash generating unit (CGU) to which the asset belongs. In assessing value in use, the estimated future cash flows are discounted to their present value using a tax free discount rate that reflects current market assessment of the time value of money and the risk specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable value of an asset (CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (CGU) is reduced to its recoverable value. An impairment loss is recognised in the statement of profit and loss.

Major furnace relining expenses are depreciated over a period of 10 years (average expected life).

Freehold land is not depreciated.

* For these class of assets, based on internal assessment and independent technical evaluation carried out by chartered engineers, the Company believes that the useful lives as given above best represent the period over which the Company expects to use these assets. Hence the useful lives for these assets are different from the useful lives as prescribed under Part C of Schedule II of the Companies Act, 2013.

(f) Exploration for and evaluation of mineral resources

Expenditures associated with search for specific mineral resources are recognised as exploration and evaluation assets. The following expenditure comprises cost of exploration and evaluation assets:

- obtaining of the rights to explore and evaluate mineral reserves and resources including costs directly related to this acquisition
- researching and analysing existing exploration data